Micron Technology, Inc.

MU NASDAQ

Hold	$927.00 ▼ 2.73%	12M Price Target	52-Week Range	Market Cap
		$1050.00	$187.42 – $1255.00	$1.05T

MU: Profit-Taking After Monster Run, Policy Still Friendly

WHAT HAPPENED

- MU down another 2.7% to $927, now off ~10% in just 4 trading days from $1,036. No news, no filings — this is pure profit-taking after a stock that's gone from $187 to $1,255 in a year. When something runs 6x and then starts bleeding on no news, it means fast money is ringing the register.
- The options tape is screaming caution — massive unusual put buying at $930, $935, $940 strikes expiring this month, 10-20x the normal open interest. Somebody big is either hedging a huge long position or betting on more downside into next week.

WHY IT MATTERS

This looks like a classic "too far, too fast" unwind rather than a thesis break — there's zero bad news, no insider selling, and institutions still own 80% of the float. But here's what to watch: when a stock this crowded starts breaking technical levels (we just lost $1,000 psychological support), momentum funds flip from buyers to sellers and the bleed can accelerate before buyers step back in. The real question isn't whether MU is a good business — it clearly is, with HBM3E (the high-bandwidth memory that goes into every Nvidia AI chip) sold out through 2026 — it's whether you're paying a reasonable price after a 6x run. My read: this is a healthy shakeout, not the end of the story, but don't be a hero catching the knife today.

POLICY & POLITICAL WATCH

MU is a massive CHIPS Act beneficiary — they're sitting on roughly $6B+ in federal subsidies for their Idaho and New York fab buildouts, and the current administration has kept the semiconductor industrial policy fully intact. The bigger near-term catalyst: ongoing US-China export control reviews — any tightening on advanced memory shipments to China actually HELPS Micron because it hurts their Chinese competitor CXMT more than it hurts them (China was only ~12% of MU revenue after the earlier Hynix-Samsung restrictions). Watch the Commerce Department's upcoming semiconductor review in November — tighter rules on HBM exports to China would be a tailwind, looser rules would be a headwind.

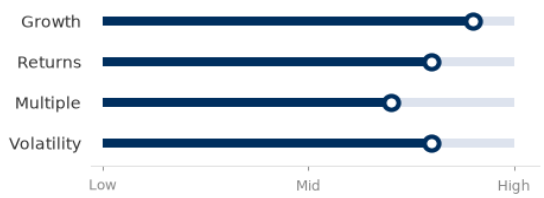
IS IT EXPENSIVE?

At ~$927 and roughly 50x forward earnings, you're paying $50 for every $1 of next year's expected profit — that's expensive for a historically cyclical memory company that used to trade at 8-12x. The bull case says this isn't the old Micron — HBM for AI is a structural, higher-margin business that deserves a tech multiple, not a commodity multiple. But at a $1 trillion market cap, MU is now priced like a secular growth story with no cyclical risk, which is a lot to assume for a company whose earnings have historically swung from huge profits to huge losses.

Key Data

Price (USD)	**$927.00**
12M Price Target	**$1050.00**
Upside / (Downside)	**+13.3%**
Market Cap	**$1.05T**
FY2026E Revenue	**$48,500M**
FY2027E Revenue	**$62,000M**
FY2026E EPS	**$18.50**
FY2027E EPS	**$26.00**
Fwd P/E	**50.1x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

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MU — Micron Technology, Inc. | October 14, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$1050.00**	$950.00	**$850.00**
6 Months	**$1200.00**	$1000.00	**$750.00**
1 Year	**$1400.00**	$1050.00	**$700.00**
2 Years	**$1800.00**	$1250.00	**$650.00**
5 Years	**$2500.00**	$1600.00	**$600.00**
10 Years	**$4000.00**	$2200.00	**$500.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+2.1%) and Staples (+1.5%) — classic defensive rotation, meaning money is moving OUT of high-beta tech/AI names and into safety. Energy strong on the week (+6.6%) likely on geopolitical premium.

COOLING OFF: Materials, Real Estate, Utilities all red — rate-sensitive stuff struggling, suggests yields are backing up which also hurts high-multiple growth names like MU.

ROTATION WATCH: This is a textbook "risk-off Tuesday" setup — defensives bid, high-flyers sold. If this persists more than 2-3 days, it becomes a real rotation and MU keeps bleeding. If it's a one-day flush, buyers return quickly.

RELATED PLAY: If you believe in the HBM story but want less froth, look at the equipment makers — LRCX (Lam Research) and AMAT (Applied Materials) sell the picks and shovels to every memory fab and trade at more reasonable multiples.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Holding up better than MU in this pullback — custom AI silicon for hyperscalers is seen as stickier than merchant memory
- NVDA (Nvidia): Still the alpha dog of AI — when it holds, the ecosystem holds; watch it as your tell for MU

MU CONTEXT: MU is lagging the broader semi group this week, which is normal — it's the highest-beta name in the group, so it leads on the way up AND on the way down. The fact that NVDA and AVGO are holding better suggests this is MU-specific profit-taking after its monster run, not an AI thesis break. That's actually constructive — means the ecosystem is intact.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I love the business, I don't love the entry price after a 6x move; this is a "wait for your pitch" situation

POSITION SIZE: 2-4% of portfolio — the AI memory story is real but the stock is now a $1T beast with real downside volatility; don't bet the farm here

ENTRY POINTS: I'd be a buyer on a flush to $850-900 (the 50-day moving average zone), aggressive buyer below $800

TIME HORIZON: 12-24 months — the catalyst is 2026 HBM4 ramp and continued hyperscaler capex guidance

WHEN TO BAIL: If Samsung gets Nvidia HBM qualification OR if any hyperscaler cuts 2026 AI capex guidance — either breaks the pricing power thesis

HEDGING: Simplest hedge is to just trim 25% of your position here and keep the rest; if you want to get fancy, buy a $850 put expiring in January as insurance — costs you a few percent but caps your downside while you ride the upside

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